

crab, the average decline is weak (14% in bull markets, but only if you trade it perfectly and often enough). For a swing trader, buying in late and exiting early or late will cut that percentage down, so you may struggle making money with this pattern.

It's also possible you could do better, because the 14% number is an average of over 1,300 patterns. If you have a better pattern recognition algorithm than the one I used or employ additional trading tools to filter out duds, then there's money to be made. Even just knowing that price will turn down at D is valuable.

In the example shown in [Figure 19.1](#), the stock turned down at D and dropped, gapping lower at E (breakaway or continuation gap) and breaking out of the pattern downward there. The drop to the low in February almost cut the price of the stock in half. Bet that hurt.

Identification Guidelines

[Table 19.1](#) shows the identification guidelines. [Figure 19.2](#) shows what a well-behaved bearish crab should look like and how it should perform.

Appearance. I don't know how the crab name came about for this pattern. What we see in the pattern are a number of tight turns (XABC) with point D way off in the boonies. That's because the Fibonacci extension for the DBC turn is a long one, between 2.618 and 3.618 of the BC length. Let's talk about how I programmed my computer to find the turns.

BA/XA retrace. Retrace BA of the XA move must be one of the Fibonacci numbers listed in [Table 19.1](#). To find the value of B, I first picked two minor high–low turns (X and A) and then searched for turn B. In this example, the high at X was 46.89, the low at A was 41.68, and the high–low range of B was 44.54 to 43.61. I used the high–low range of the last point to see if it spanned a Fibonacci number. If it did, then I found turn B. Here's the equation using the high at B: $(44.54 - 41.68) / (46.89 - 41.68)$ or 0.55. Using the low at B we find: $(43.61 - 41.68) / (46.89 - 41.68)$ or 0.37. The range of .37 to .55 encompassed two Fibonacci numbers, .382 and .5, so we found turn B.